

Profit Niti AI CFO Report ### **1. Big Picture — How the Business Looks Right Now** The business is experiencing significant financial stress with declining equity, mounting losses, and cash flow challenges. Sales showed volatility with a sharp 23% drop in April 2025, while costs have been escalating rapidly. The company's total equity turned negative (-₹407.8M) in April 2025, indicating serious financial strain. Cash flow from operations improved in recent months but remains insufficient to offset the substantial losses. --- **GREEN FLAG BOX — What's Working Well:** Operating cash flow turned positive in March and April 2025, showing improved collections Long-term borrowings have been consistently decreasing, reducing debt burden Non-current investments remain stable at ₹133.5M, providing asset backing **RED FLAG BOX — What Needs Attention:** Massive losses with current year profit at -₹602.1M in April 2025 Negative total equity position indicating potential solvency issues Gross margins turned severely negative (-60.67%) in April 2025 **CFO Advice:** "Immediate focus required on cost control and margin improvement. The negative equity position demands urgent restructuring and operational turnaround to restore financial stability." --- ### **2. Profit Power — The Earning Engine** The profit engine has completely broken down with consistent negative margins across all periods. Gross profit turned severely negative (-₹586.5M) in April 2025 due to COGS exceeding sales by over 60%. Operating expenses remain relatively stable, but the core issue is the massive cost of goods sold outpacing revenue. The company is losing money on every sale made. **CFO Advice:** "Conduct immediate price review and cost analysis. Either increase prices significantly or reduce COGS by at least 40% to restore positive margins. Consider product mix optimization." --- ### **3. Cash Flow Quality — Profit vs Real Cash** Cash flow from operations showed improvement in Q1 2025-2026 with positive ₹547.5M in April, but this doesn't align with the massive losses. The discrepancy suggests potential timing differences or one-time adjustments. Cash from financing activities turned negative, indicating debt repayment, while investing activities remained minimal. The cash conversion cycle needs significant improvement. **CFO Advice:** "Focus on aligning cash flow with operational performance. The positive operating cash flow in recent months should be sustained while addressing the underlying profitability issues." --- ### **4. Cash Management — Daily Cash Rhythm** The cash cycle shows concerning trends with accounts receivable days increasing to 14.06 days in April 2025, while inventory days dropped to zero, suggesting potential stock-outs. Accounts payable days remain very low at 0.16 days, indicating early payments to suppliers. The working capital days decreased to 13.9 days, but this may reflect inventory depletion rather than efficiency. **CFO Advice:** "Optimize payment terms with suppliers to extend DPO while maintaining relationships. Improve inventory management to avoid stock-outs while controlling levels." --- ### **5. Growth Investments — Where Money Is Going** Fixed assets have been gradually declining from ₹392.2M to ₹378.9M, indicating minimal new capital expenditure. Non-current investments remain unchanged, suggesting no new strategic investments. The return on capital turned extremely negative (-851.74% in April 2025), indicating poor utilization of existing assets. The company appears to be in survival mode rather than growth mode. **CFO Advice:** "Freeze all non-essential capital expenditure until profitability is restored. Focus on optimizing utilization of existing assets before considering new investments." --- ### **6. Funding Story — How Growth Is Being Financed** The funding structure shows declining long-term borrowings from ₹476.6M to ₹368.1M, but the debt-to-equity ratio turned negative (-0.9) due to negative equity. Interest coverage remains at zero, indicating inability to service debt from operations. Total funding turned negative (-₹257.6M), reflecting the severe financial distress. **CFO Advice:** "Urgent debt restructuring

required. Engage with lenders to negotiate terms while implementing operational turnaround. Explore equity infusion to restore positive net worth." --- ### **7. Balance Sheet Health — Financial Fitness** **Current Ratio:** □ Shaky (0.56 in April 2025 - below healthy level of 1.0) **Debt-to-Equity:** □ Shaky (Negative due to negative equity) **Asset Turnover:** □ Shaky (-13.63 in April 2025) **Cash Position:** □ Steady (₹217.9M cash balance maintained) **Inventory Management:** □ Shaky (Zero inventory days suggesting potential issues) **CFO Advice:** "Immediate focus on restoring positive equity through operational improvements and potential capital infusion. Address liquidity concerns and inventory management issues." --- ### **8. Smart AI Simulation — Automatic "What-If" Scenarios** *Based on the weak spots identified, the AI has run these simulations:*

- **Scenario A - Profit Focus:** "A 15% price increase combined with 20% COGS reduction could restore positive gross margins and reduce annual losses by approximately ₹450M."
- **Scenario B - Cash Focus:** "Extending supplier payment terms to 30 days while reducing receivables collection to 10 days could free up approximately ₹180M in working capital."
- **Scenario C - Balanced:** "Combining 10% price increase with 15% COGS reduction and optimizing working capital could restore positive cash flow and reduce losses by ₹380M annually."

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Action Timeline Bar: [Survival ██████████.....] 0-30 Days [Stabilization ██████████.....] 31-60 Days [Recovery ██████████.....] 61-90 Days --- ###

Final Summary "Critical financial situation requiring immediate intervention. Focus on emergency cost control, price optimization, and debt restructuring to restore viability before pursuing growth." --- *Generated by Profit Niti AI - Helping You Work Less, Earn More.*